

MAINS MASTER PROGRAM (MMP) 2024

POLITY – 12

Sub-Topic [Development process & the development industry – the role of NGO's, SHG's, various groups & association, donors, charities, institutional & other stakeholders]

Development process & the development industry

➤ Development Process

- ✓ Development process refers to **broad & multi-faceted efforts** to improve upon **socio-economic status** of the people & that of the country.
- ✓ Example – Social Development, Economic development, Infrastructure development, environmentally Sustainable practices etc.

➤ Development Industry

- ✓ The development industry encompasses a **range of sectors** and activities aimed at promoting economic growth, infrastructure development, and social well-being of the country & the people.
- ✓ Both the **state and non-state actors** play crucial roles in driving progress and addressing various socio-economic challenges

➤ State Vs Non-State Actors

- ✓ State actors are government bodies at various levels (national, state, local) that are responsible for planning, implementing, and regulating development policies and projects.
- ✓ Example – Policy Formulation & Implementation, Budgetary Allocation, Regulation & Oversight etc.
- ✓ Non-state actors include non-governmental organizations (NGOs), private sector companies, international agencies, civil society groups, and community-based organizations (CBOs)
- ✓ Example – Service Delivery, Advocacy & Awareness, capacity building etc.

➤ What is a civil society?

- ✓ Civil society refers to the collective of non-governmental organizations (NGOs), community groups, labour unions, indigenous groups, charitable organizations, faith-based organizations, professional associations, and other entities that operate independently from the government and represent the interests, values, and needs of various groups within society.
- ✓ These organizations work to advance social, economic, political, and cultural objectives and play a crucial role in **shaping public policy, advocating for social change, and holding governments accountable.**

➤ Role of Civil Society in enhancing political participation & representation of women

- ✓ **Campaigns, Lobbying & generating public awareness:** Civil society organizations (CSOs) have been instrumental in advocating for legal and policy reforms to improve women's representation. They have lobbied for the implementation of policies such as the reservation of seats for women in legislative bodies. Example, campaigns like the **"50:50 Campaign"**

have aimed to increase women's representation in legislative bodies by advocating for gender quotas and reforms.

- ✓ **Capacity Building and Training:** Civil society groups provide training programs to build the leadership skills of women, preparing them for political roles. These programs often cover areas such as public speaking, negotiation, campaign management, and policy analysis. Example **Pratham runs programs** aimed at educating and empowering women, which includes political education and training for women leaders.
- ✓ **Policy Advocacy and Reform:** CSOs have played a critical role in advocating for legislative reforms that promote women's representation, such as the Women's Reservation Bill, which seeks to reserve seats for women in Parliament and state legislatures. **Example - The Women's Resource Centre (WRC)** work with women leaders to promote gender-sensitive policies and ensure women's voices are heard in political spheres.
- ✓ **Empowering Grassroots Movements:** CSOs work at the grassroots level to mobilize women, encouraging them to participate in local governance and politics. They support the formation of women's collectives and self-help groups that can serve as a foundation for political involvement. Example, **Sakhi** engages in community-based advocacy to support women's involvement in **local governance**.
- ✓ **Addressing Systemic Barriers:** CSOs work to address and challenge systemic barriers and discrimination that women face in politics, such as gender biases, violence, and harassment. Example, **Women in Politics (WiP)** is a network that works to increase the number of women in political positions by offering training programs, mentorship, and resources to aspiring female politicians.

➤ **Non-Governmental Organisation**

- ✓ **A non-governmental organization (NGO)** is a non-profit, voluntary group that is organized on a local, national, or international level to address issues in support of the public good.
- ✓ NGOs perform a variety of service and humanitarian functions, bring citizen concerns to governments, advocate and monitor policies, and encourage political participation through provision of information.
- ✓ **Key Characteristics of NGOs**
 - **Non-Profit** - NGOs are not driven by profit but by their mission to effect social, political, economic, or environmental change.
 - **Independence** - NGOs operate independently of government control, although they may receive government funding or collaborate with governmental agencies.
 - **Voluntary Participation** - NGOs typically rely on voluntary participation and donations, though they may also have paid staff.
 - **Mission-Driven** - NGOs focus on specific issues or causes, such as human rights, environmental protection, healthcare, education, and disaster relief.
- ✓ **Classification of NGOs**

- **Development NGOs** - These organizations work on long-term development projects aimed at improving living conditions in underdeveloped areas. Examples include Save the Children, Swades Foundation, Yuva Parivartan etc.
- **Advocacy NGOs** - These NGOs work to influence public policy and promote specific causes. They engage in lobbying, campaigning, and public education to bring about social or political change. Examples include PUCL, Amnesty International, Human Rights Watch etc.
- **Humanitarian NGOs** - These NGOs provide emergency assistance during natural disasters, wars, and other crises. Examples include International Red Cross and Red Crescent Movement, Oxfam, Bal Raksha Bharat etc.
- **Operational NGOs** - These organizations focus on the design and implementation of development-related projects. They might be involved in emergency relief, community development, or providing services such as healthcare and education. Examples include CARE International, Save Life Foundation, Help Age India etc.
- **Environmental NGOs** - These organizations focus on environmental protection and sustainability. Examples include Greenpeace, World Wildlife Fund (WWF) etc.

✓ **Functions of NGOs**

- **Service Delivery:** Providing essential services such as healthcare, education, clean water, and shelter, especially in areas where government services are lacking. For example, NGOs in India engage in activities like promotion **Health, Education, Human Rights, Environmental Protection, Women Empowerment & Social Sectors** etc.
- **Advocacy and Public Awareness:** Campaigning for policy changes, raising awareness about critical issues, and mobilizing public opinion. Examples - **MKSS – RTI, ADR – Criminal antecedents, PUCL** etc.
- **Capacity Building** - Strengthening the abilities of communities and local organizations through training, education, and support. Example – Hand in Hand India, Smile Foundation etc.
- **Represents diverse interest:** NGOs can represent the interest of diverse sections of the societies especially the marginalised. **Example - NAZ Foundation, PETA, Tribal Rights in POSCO case** etc.
- **Monitoring and Accountability:** Holding governments and corporations accountable for their actions and policies, ensuring transparency and adherence to laws and ethical standards. Example – **ADR, PUCL** etc.

✓ **NGOs & Role in Protecting Environment**

- **Plug gaps in research & Policy inputs:** NGOs play an important role in conducting research & providing valuable insights & inputs in policy formulation in addressing environmental issues. **Example – Bengaluru based NGO (Make Bengaluru climate friendly)**
- **Protecting Biodiversity:** They play significant role and active engagement in wildlife conservation through their volunteers. Example - **Center for Wildlife Studies.**

- **Awareness Generation:** Lot of NGOs play an important role in awareness generation in number of areas including **Planting trees, Forest conservation, promoting sustainable practices, promotion of renewable fuels instead of fossil fuels etc.**
 - NGOs participation in implementation of various policies of the government. Example - **Swachh Bharat; EPA, 1986 etc.**
 - NGOs play an important role in challenging policies & regulation detrimental to environment. Example – Greenpeace international.
- ✓ **NGO's role in promotion of Political Participation and Awareness Generation**
- **Advocacy and Lobbying:** NGOs advocate for policy changes and reforms by lobbying government officials, organizing campaigns, and participating in public consultations. Example - NGOs advocating for environmental policies to combat climate change.
 - **Capacity Building and Training:** NGOs provide training and capacity-building programs to empower individuals and communities with the skills and knowledge needed to engage in political processes. Example - Workshops on how to engage with local government officials and participate in decision-making processes.
 - **Public Education and Awareness Campaigns:** NGOs conduct educational campaigns to inform the public about their rights, current political issues, and the importance of civic engagement. Example - Voter education campaigns to increase electoral participation.
 - **Monitoring and Accountability:** NGOs monitor government actions, conduct research, and publish reports to ensure transparency and accountability. Example - Anti-corruption NGOs investigating and exposing instances of government corruption.
 - **Legal Assistance and Advocacy:** NGOs offer legal support and advocacy to help individuals and groups protect their rights and challenge unjust policies. Example - Legal aid NGOs supporting marginalized communities in land disputes.
 - **Grassroots Mobilization:** NGOs mobilize communities to take collective action, organize protests, and participate in grassroots movements. Example - Community organizing around issues such as housing rights or environmental justice.

✓ **Case Studies**

1) Association for Democratic Reforms (ADR) – India

- ADR works to improve the transparency and accountability of the electoral process in India. They publish detailed reports on the criminal, financial, and educational backgrounds of candidates contesting elections. ADR's efforts have led to greater voter awareness and informed decision-making during elections. Their advocacy has also contributed to judicial interventions mandating disclosure of candidate information.

2) National Campaign for People's Right to Information (NCPRI) – India

- NCPRI advocated for the passage of the Right to Information (RTI) Act in India, which empowers citizens to request information from public authorities.
- The RTI Act has become a powerful tool for promoting transparency and accountability in India. It has been used by citizens and NGOs to uncover corruption, ensure the delivery of public services, and hold government officials accountable.

✓ **Importance of NGOs**

- **Enhancing Civic Participation:** NGOs encourage civic engagement and empower individuals and communities to take an active role in their own development.
- **Catalysing Change:** NGOs often lead the way in advocating for social, economic, and environmental changes, influencing public policy and societal norms.
- **Filling Gaps:** NGOs often operate in areas where government services are insufficient or absent, providing essential support to vulnerable populations.
- **Promoting Human Rights and Social Justice:** NGOs advocate for the rights of marginalized groups and work to address inequalities and injustices.
- **Global and Local Reach:** NGOs operate at various levels, from local grassroots organizations to international entities, addressing issues on both a small and large scale.

✓ **Challenges faced by NGOs**

- **Accountability and Transparency:** Ensuring accountability and transparency in operations and use of funds is crucial but can be challenging.
- **Funding:** Securing sustainable funding can be a significant challenge, as many NGOs rely on donations, grants, and external funding.
- **Political and Regulatory Environment:** NGOs may face restrictions, harassment, or interference from governments, especially in regions with authoritarian regimes. Example – FCRA regulation
- **Impact Measurement:** Demonstrating the impact of their work and proving effectiveness to donors and stakeholders can be complex.
- **Coordination:** Coordinating efforts with other NGOs, governments, and international organizations to avoid duplication and enhance impact can be difficult.
- **Limited Capacity:** The capacity of the NGOs is very limited in terms of their finance, human resource, infrastructure & logistics etc. which very essential in effective performance of their duties.

➤ **Foreign Contribution Regulation Act, 1976**

- ✓ The Foreign Contribution (Regulation) Act (FCRA) is an Indian law enacted to regulate the acceptance and utilization of foreign contributions or foreign hospitality by certain **individuals or associations**.

- ✓ It aims to ensure that such contributions do not adversely affect the **sovereignty, integrity, and security of India, as well as public interest**. The Act applies to NGOs, political parties, educational institutions, and other organizations.
- ✓ **Key Provisions of the FCRA**
 - **Registration and Prior Permission:** Organizations receiving foreign contributions **must register** with the Ministry of Home Affairs (MHA).
 - **Utilization of Funds:** Foreign contributions must be **utilized for the specific purpose** for which they were received.
 - **Bank Account Requirement:** Organizations must open a designated bank account with the State Bank of India, New Delhi Main Branch, for receiving foreign contributions.
 - **Reporting Requirements:** Organizations must submit annual returns detailing the receipt and utilization of foreign contributions.
 - **Prohibited Recipients:** Certain entities and individuals, including election candidates, journalists, judges, and members of legislatures, are prohibited from receiving foreign contributions.
 - **Restrictions and Prohibitions:** The Act imposes restrictions on the use of foreign contributions for activities deemed harmful to the national interest.
 - **Renewal and Suspension:** FCRA registration must be renewed every five years. The MHA can suspend the registration of an organization for up to 180 days if it suspects violations of the Act.
 - **Cancellation of Registration:** The MHA has the authority to cancel the registration of an organization if it violates the provisions of the FCRA, fails to adhere to the terms and conditions of the registration, or if it engages in activities prejudicial to the national interest.
- ✓ **FCRA Amendment Act 2020**
 - **Administrative Expenses:** The cap on administrative expenses was reduced from 50% to 20% of the foreign contributions received.
 - **Transfer of Funds:** Sub-granting of foreign contributions to other FCRA-registered entities was prohibited.
 - **Aadhaar Requirement:** Mandatory for all office-bearers of NGOs to provide their Aadhaar numbers for identification.
 - **Designated Account:** All foreign contributions must be received in the designated FCRA account at the State Bank of India, New Delhi Main Branch.
- ✓ **Challenges and Criticisms of FCRA regulation**
 - **Increased Bureaucratic Hurdles:** Stricter regulations and increased paperwork can burden smaller NGOs.
 - **Funding Constraints:** Restrictions on administrative expenses and transfer of funds may limit operational flexibility.

- **Operational Challenges:** Mandatory use of a single designated bank branch can pose logistical challenges for organizations based in remote areas.
 - **Potential for Misuse:** The power to suspend or cancel registrations without adequate safeguards can be misused, affecting genuine organizations.
 - **Example** - Greenpeace India, Amnesty International India & Oxfam India.
- ✓ **Way forward or reforms to improve functioning of NGOs in India**
- Diversifying Funding Sources & Financial Management
 - Simplify compliance & bring policy reforms
 - Standardisation of monitoring & evaluation mechanism & ethical standards for NGOs
 - Capacity building & training for NGO staff, Faculties & management members.
 - Active collaboration & networking with Government, private sector & community.
 - Enhancing public perception & trust through community participation.
 - **Examples of success stories** - Self Employed Women's Association (SEWA), Teach for India, Pratham etc.

Questions

1. The FCRA plays a critical role in regulating foreign contributions in India, ensuring their proper utilization, and safeguarding national interests. At the same time stringent regulations and oversight mechanisms can pose significant challenges for NGOs impacting their performance. Comment. [15]
2. The Non-Governmental organization today have come to play an important role in supplementing the effort of the government in ensuring socio-economic development. Discuss [10]

➤ Self Help Group

- ✓ A Self-Help Group (SHG) is a small, **informal association** of people who come together to address common issues, improve their **socio-economic conditions**, and support each other through collective efforts.
- ✓ SHGs are typically composed of 10-20 members who share similar **socio-economic backgrounds** and come together to save money, pool their resources, and provide mutual support.
- ✓ Example
 - a) **The Kudumbashree Mission (Kerala):** One of the largest women's SHG networks in India, focused on **poverty eradication and women's empowerment**. Provides microcredit, entrepreneurship training, and various social services.
 - b) **The SEWA (Self-Employed Women's Association) Model:** SEWA has facilitated the formation of numerous SHGs for women, providing them with **financial services, training, and market linkages**. Focuses on improving the economic and social status of self-employed women.
 - c) **MYRADA (Mysore Resettlement and Development Agency):** An NGO that pioneered the SHG movement in India, helping form thousands of SHGs across

multiple states. Focuses on **capacity building, financial inclusion, and sustainable livelihoods.**

✓ **Characteristics of Self-Help Groups**

- **Membership:** Usually consists of **10-20 members**. Members often come from the same village or community and share similar socio-economic backgrounds. Membership is typically voluntary and open to all, but often focuses on **marginalized or disadvantaged groups, such as women or low-income individuals.**
- **Savings and Credit:** Members regularly save a fixed amount of money. The pooled savings create a fund that members can borrow from to meet their financial needs. Loans are given for various purposes, such as starting or expanding a business, education, healthcare, or emergencies.
- **Meetings and Decision-Making:** SHGs hold regular meetings, often weekly or monthly. Decisions are made collectively, with each member having an equal say. Meetings also serve as a platform for discussing issues, planning activities, and providing mutual support.
- **Capacity Building:** Members receive training in various skills, such as financial literacy, entrepreneurship, and leadership. SHGs often collaborate with NGOs, government agencies, and banks for training and support.
- **Financial Inclusion:** SHGs often link with banks and microfinance institutions to access formal credit and financial services. This linkage helps in promoting financial inclusion among marginalized groups.

✓ **Advantages of SHGs**

- **Economic Empowerment:** SHGs provide access to credit, enabling members to invest in income-generating activities and improve their livelihoods. Regular savings and credit discipline enhance financial stability and independence.
- **Social Empowerment:** SHGs promote social cohesion and solidarity among members. They provide a platform for members to voice their concerns, share knowledge, and support each other.
- **Capacity Building:** Training and skill development enhance members' abilities to manage their finances, run businesses, and take on leadership roles. Increased awareness and knowledge lead to better decision-making and problem-solving.
- **Gender Equality:** Many SHGs focus on women's empowerment, providing them with opportunities to improve their socio-economic status. Participation in SHGs enhances women's confidence, decision-making power, and social standing.
- **Community Development:** Improved infrastructure and living conditions in participating communities. Strengthened community cohesion and collective action to address local issues.

✓ **Role of SHGs in Developmental Activities**

- **Economic Development**

- a) **Financial Inclusion:** SHGs facilitate savings and credit among members, providing access to financial services for those who are often excluded from formal banking.
- b) **Entrepreneurship and Livelihoods:** SHGs promote entrepreneurship by providing training and financial support for income-generating activities.
- c) **Microfinance and Credit Linkage:** SHGs pool members' savings and use these funds to offer small loans at low interest rates.
- **Social Development**
 - a) **Women's Empowerment:** SHGs empower women by enhancing their financial independence, self-confidence, and decision-making power. They provide a platform for women to voice their concerns, participate in community affairs, and advocate for their rights.
 - b) **Education and Awareness:** SHGs conduct literacy programs and awareness campaigns on health, hygiene, and social issues. They play a role in promoting education for children, especially girls, by emphasizing its importance within the community.
 - c) **Health and Nutrition:** SHGs organize health camps, provide health insurance, and disseminate information on nutrition and preventive healthcare. They support initiatives for maternal and child health, sanitation, and clean drinking water.
- **Environmental Sustainability**
 - a) **Natural Resource Management:** SHGs engage in activities like watershed management, afforestation, and soil conservation to promote sustainable agriculture. They implement eco-friendly practices and raise awareness about environmental conservation.
 - b) **Climate Resilience:** SHGs help communities adopt climate-resilient practices and diversify livelihoods to withstand environmental shocks. They promote the use of renewable energy sources and sustainable agricultural practices.
- ✓ **Government initiatives to promote SHGs**
 - **Self Help Group-Bank Linkage Program (SHG-BLP)**
 - ❖ The Self-Help Group-Bank Linkage Program (SHG-BLP) is a pioneering initiative in India aimed at linking informal self-help groups (SHGs) with formal banking institutions.
 - ❖ Launched in 1992 by the National Bank for Agriculture and Rural Development (NABARD), SHG-BLP has become one of the world's largest microfinance programs.
 - ❖ It seeks to provide financial services to the underserved rural population, promote financial inclusion, and empower women through collective action.

- ❖ **Example - Andhra Pradesh** is one of the leading states in implementing the **SHG-Bank Linkage Program**, with a strong focus on women's empowerment and poverty alleviation.
- **Priyadarshini Scheme [Women Empowerment and Livelihood Enhancement through SHGs]**
 - ❖ The Priyadarshini Scheme is an integrated women empowerment and livelihood program launched by NABARD.
 - ❖ It aims to create sustainable livelihoods and enhance the socio-economic status of rural women by organizing them into SHGs and providing necessary support for their development.
- **Govt. livelihood missions linked to SHGs**
 - ❖ **National Rural Livelihoods Mission (NRLM)**: Objective is to reduce poverty by enabling poor households to access gainful self-employment and skilled wage employment opportunities. NRLM supports the formation of SHGs and their federations, provides training, and facilitates bank linkages.
 - ❖ **Deendayal Antyodaya Yojana (DAY)**: To improve the living standards of rural poor by enhancing their livelihoods on a sustainable basis through SHGs.
 - ❖ **Prime Minister's Employment Generation Programme (PMEGP)**: To generate employment opportunities in rural and urban areas through setting up new self-employment ventures.
 - ❖ **Rashtriya Mahila Kosh (RMK)**: To provide microfinance services to bring about the socio-economic upliftment of poor women.
- **Mahila E-Haat: Web-Based Marketing Platform**
 - ❖ Mahila E-Haat is an innovative **web-based marketing platform** launched by the Ministry of **Women and Child Development, Government of India**.
 - ❖ This platform aims to empower women entrepreneurs, artisans, and self-help groups (SHGs) by providing them with an online marketplace to showcase and sell their products directly to consumers.
 - ❖ It is a part of the broader initiative to **promote women's economic empowerment through digital and financial inclusion**.
- **Government Agencies and NGOs collaboration in Training and Capacity Building**
 - ❖ **National Bank for Agriculture and Rural Development (NABARD)**: NABARD plays a crucial role in rural development and financial inclusion. It supports SHGs, farmers' clubs, and rural entrepreneurs through training and capacity-building programs.
 - ❖ **Ministry of Skill Development and Entrepreneurship (MSDE)**:
 - a) **Pradhan Mantri Kaushal Vikas Yojana (PMKVY)**: Provides short-term training and skill certification programs to unemployed youth and school/college dropouts.

b) **National Skill Development Corporation (NSDC):** Facilitates the creation of large, quality vocational training institutions and supports skill development initiatives.

❖ **NGOs Involved in Training and Capacity Building**

a) **PRADAN (Professional Assistance for Development Action):**

PRADAN works to promote sustainable livelihoods in rural areas by mobilizing and empowering communities.

b) **SEWA (Self-Employed Women's Association):** SEWA is a trade union for self-employed women workers, aiming to provide full employment and self-reliance.

c) **MYRADA (Mysore Resettlement and Development Agency):** MYRADA focuses on building and managing people's institutions to promote sustainable development.

- Grain banks through SHGs with financial & technical support from government.

❖ Example – Grain banks in Bihar

- Lending to Self-Help Groups (SHGs) forms an integral part of PSL as per RBI norms.

✓ **Challenges faced by SHGs**

- **Cultural Norms and other Traditions factors**

❖ **Gender Roles:** In many rural societies, traditional gender roles may restrict women's mobility and decision-making power. SHGs often aim to empower women, but ingrained cultural norms can limit their participation or influence within these groups.

❖ **Social Hierarchies:** Caste and social hierarchies can impact the inclusivity of SHGs. Individuals from lower castes or marginalized communities might face discrimination or exclusion, affecting their engagement in development programs.

❖ **Literacy Levels:** Low literacy rates in rural areas can be a barrier to effective participation. Members might struggle with understanding program requirements, managing finances, or accessing information.

❖ **Awareness of Rights and Opportunities:** Limited awareness about rights, entitlements, and available development programs can hinder effective participation and advocacy.

❖ **Poverty:** Economic constraints can affect SHG members' ability to contribute financially or invest time in group activities. Economic instability may also limit access to resources necessary for successful participation.

❖ **Interpersonal Conflicts:** Internal conflicts within SHGs, such as disagreements or personal rivalries, can disrupt group cohesion and effectiveness.

- **Institutional factors**

- ❖ **Inadequate access to credit:** Access to credit is one of the major issues hampering the progress of SHGs in India.
- ❖ **Lack of Support System:** Inadequate support from local institutions or government bodies can impede the growth and sustainability of SHGs. Without proper guidance, training, and resources, SHGs may struggle to implement development programs effectively.
- ❖ **Policy Constraints:** Sometimes, policies may not be well-aligned with the needs and realities of rural areas, affecting the ability of SHGs to leverage development programs fully.

✓ **Way forward**

- **Cultural Sensitivity:** Tailoring interventions to respect and work within existing cultural frameworks can improve acceptance and participation.
- **Education and Training:** Providing education and training to SHG members on various aspects of development programs can enhance their effectiveness.
- **Economic Support:** Offering financial and resource support can help overcome economic barriers and improve SHG functionality.
- **Strengthening Institutions:** Building stronger linkages between SHGs and local institutions can provide better support and resources.
- **Comprehensive policy framework:** addressing various issues like financial credit, training & capacity building, access to market needs to be formulated.
- **Conflict Resolution:** Implementing mechanisms to address internal conflicts and enhance leadership within SHGs can improve group dynamics and effectiveness.

Questions

1. The emergence of SHGs in contemporary times points to the slow but steady withdrawal of the state from the developmental activities. Examine the role of SFHs in developmental activities and the measures taken by the government of India to promote SHGs. [15]
2. The community driven initiatives have the potential to alleviate poverty and empower people especially women leading to comprehensive socio-economic development. In this context highlight the role of SHG's in the development process with suitable examples. [10]
3. The role of non-state actors may have a more marginal role in formal governance structures compared to state institutions, their influence is far from insignificant. Comment [10]